

Value State Standard (VSS)

Value State Standard (VSS)

Architecture Ecosystem: Structured Reality Standards™

Architecture Family: VFM® — Value Flow Mechanisms Architecture

Parent Standard: Value State Standard (VSS)

Operational Layer: Value State Governance Layer

Category: Governance & Enforcement

Subcategory: Value Lifecycle Governance

Type: Parent Standard

Governed Space: Value State

Version: 1.0

Status: Canonical · Open Standard

Effective Date: 25 August 2026

AI-Readable: Yes

Authority: OOF®

Protection: MIP® — Methodology Intellectual Property Protection

Canonical Language: UCL — Universal Canonical Language

Canonical Definition

Value State Standard (VSS) is the fifth Parent Standard within VFM® — Value Flow Mechanisms Architecture governing the identification, classification, determination, transition readiness, and persistent representation of the current governed state of value.

VSS establishes a structured governance layer through which value that has emerged and entered the governed value lifecycle can be represented according to its current condition without confusing that condition with its origin, recognition, previous condition, future condition, or the mechanism through which change occurred.

The Standard establishes the methodological distinction between:

the existence of value

and

the current state in which that value exists.

Its governing principle is:

Value State ≠ Value Transition.

VSS determines where value currently stands.

It does not determine the mechanism through which value arrived there or the mechanism through which it may subsequently move to another state.

Core Question

What is the current governed state of value?

Architectural Position

VSS occupies the fifth governed space within the VFM® value lifecycle.

It follows:

Value Recognition Standard (VRS)

and precedes:

Value Change Standard (VCS).

The VFM® governance flow at this point is:

Value Context → Value Origin → Value Emergence → Value Recognition → Value State → Value Change → Value Development / Value Degradation → Value Nullification → Value Restoration / Value Extinction

The architectural transition is therefore:

What value is being governed? → Where can that value originate? → Has value actually emerged? → Can that existing value be recognized within the defined context? → What is its current governed state?

VSS establishes the baseline state against which subsequent value change can be governed.

Governance Flow Position

Governed Value Recognition Record → Value State Identification → Value State Classification → Value State Determination → Value State Transition Readiness → Value State Record → Governed Current Value State → Value Change Governance

This creates a critical lifecycle control:

Recognized Value → Governed Current Value State

Once that state exists, subsequent VFM® standards can determine whether the value has materially changed.

Operational Space

VSS governs the operational space in which existing value is assigned an explicit and current governed state.

This includes:

value-state identification; value-state classification; state criteria; state determination; state applicability; state conditions; state boundaries; state uncertainty; state temporal applicability; zero-value state; positive-value state; conditional value state; state review; state transition readiness; state versioning; state history; current-state representation; machine-readable value-state records.

The purpose is to prevent value from being treated merely as:

present

or

absent

when its actual governed condition may be materially more complex.

Value State Principle

A value can exist while occupying different states.

For example, a capability may have:

Potential Value

before emergence.

After emergence and recognition it may become:

Recognized Existing Value

and later occupy states representing materially different conditions within the value lifecycle.

The state is therefore not the value itself.

It is a governed representation of the value's current condition.

Thus:

Value $\neq$ Value State

and:

Value Identity $\neq$ Value State

The same governed value may persist while its state changes repeatedly.

State Independence Principle

VSS requires the current value state to be determinable independently from the historical pathway that produced it.

Two values may arrive at the same current state through completely different mechanisms.

For example:

Value A: innovation $\rightarrow$ development $\rightarrow$ current state X

Value B: degradation $\rightarrow$ restoration $\rightarrow$ current state X

Their histories differ.

Their current governed state may nevertheless be equivalent.

VSS therefore governs:

Current Condition

rather than:

Historical Mechanism.

The historical pathway remains relevant to other VFM® lifecycle spaces but must not prevent consistent state representation.

Value State $\neq$ Value Recognition

Recognition and state answer different governance questions.

Value Recognition asks:

Can existing value be recognized as value within this defined governance context?

Value State asks:

What is the current governed condition of that value?

A recognition determination may therefore remain valid while the underlying value subsequently changes state.

Recognition must not be repeatedly mistaken for the current value condition.

Value State ≠ Value Change

VSS establishes the state.

VCS establishes whether that state or its underlying value condition has materially changed.

Therefore:

$\text{State}(t_1) \neq \text{Change}(t_1 \rightarrow t_2)$

A state is a condition at a governed reference point.

A change is a relationship between conditions across reference points.

This distinction enables VFM® to represent value dynamically without collapsing state and movement into the same concept.

Value State ≠ Value Transition

A value may be in a particular state without currently transitioning.

Likewise, evidence may indicate that a transition is becoming possible or imminent without establishing that the transition has occurred.

VSS therefore preserves:

Current State

separately from:

Transition Readiness

and:

Completed Transition.

Transition readiness is a state-governance signal.

Actual value change belongs downstream.

State Reference Point

Every meaningful value-state determination requires a reference point.

The reference point may be:

a date; a reporting period; an operational configuration; a transaction stage; a technological stage; a project phase; an accounting period; a mission phase; a contractual condition; a system version; another governed temporal or operational reference.

Without a reference point, the statement:

“The value is in State X.”

may become detached from the conditions under which it was true.

VSS therefore treats state as reference-bound.

State Classification

VSS permits value states to be classified according to the governance context in which value is being represented.

VFM® does not require every sector, asset type, organization, or value system to use one rigid universal state taxonomy.

Instead, state classifications must be:

explicitly defined; mutually interpretable where required; connected to the governed value; contextually appropriate; sufficiently distinguishable; consistently applied; machine-readable where implementation requires.

This allows VFM® to govern value across financial, industrial, technological, public, digital, environmental, scientific, infrastructure, and other contexts without forcing unlike value systems into an artificial common scale.

Canonical Value-State Concepts

VFM® may establish canonical value-state concepts where they represent recurring value conditions across multiple domains.

Two foundational concepts are:

Value Asset™

and

ZVA™ — Zero Value Asset™.

These concepts must remain governed states or value-state constructs within the VFM® lifecycle and must not silently acquire meanings belonging to accounting, property, taxation, securities law, valuation, or another external system.

Value Asset™

Value Asset™ represents a governed value-bearing condition in which an identified object, capability, relationship, resource, right, process, system, or other governed basis carries recognized value within a defined VFM® context.

The concept is broader than conventional accounting recognition.

Therefore:

Value Asset™ ≠ Accounting Asset

Value Asset™ ≠ Legal Property

Value Asset™ ≠ Marketable Asset

Value Asset™ ≠ Taxable Asset

A Value Asset™ may have significant operational, strategic, technological, social, informational, infrastructure, or other value even where an external accounting or legal framework does not classify it as an asset.

External systems remain responsible for their own classifications.

ZVA™ — Zero Value Asset™

ZVA™ — Zero Value Asset™ represents a governed zero-value state where an identified value-bearing object or basis remains governable but its value within the defined VFM® context is determined to be zero.

The concept establishes an important distinction:

Zero Value ≠ Non-Existence

An object can continue to exist while the governed value associated with it is zero.

Likewise:

Zero Value $\neq$ Extinction

A zero-value state does not automatically establish that value can never return.

And:

Zero Value $\neq$ Worthless in Every Context

An object may occupy a zero-value state under one value context while carrying value under another.

ZVA™ therefore creates a governed representation of zero value without forcing the lifecycle immediately into extinction.

Zero as a Governed State

Zero is not merely the absence of a number.

Within VFM®, zero may represent a materially meaningful lifecycle condition.

For example, an industrial capability may temporarily have no operational value because the production system it serves has been suspended.

A technological asset may have zero value within a current architecture but regain value after compatibility is restored.

A digital resource may have zero current utility while retaining recoverable future value.

A mission capability may have zero value for one mission configuration while remaining valuable for another.

VSS makes those distinctions governable.

Zero Value $\neq$ Negative Value

Where a governance context supports negative-value conditions, VSS must distinguish them from zero.

Zero Value

means the governed value state is zero within the defined context.

Negative Value

may indicate that the governed object, condition, activity, or relationship creates a net adverse value effect under the applicable value model.

These states are not interchangeable.

A zero-value object may create neither value nor material value loss.

A negative-value condition may actively destroy, consume, offset, or impose value.

The applicable methodology must define the distinction.

State Granularity

A value-state system may operate at different levels of granularity.

For example:

High-Level State

may indicate whether value is:

Positive / Zero / Negative / Indeterminate

while a more detailed state model may distinguish:

Active / Conditional / Constrained / Dormant / Degraded / Zero / Recoverable / Other Defined State.

VSS does not require unnecessary complexity.

The state taxonomy should be sufficiently granular to support the decisions and downstream governance for which it is intended.

Conditional Value State

A value state may depend upon defined conditions.

For example:

Value Asset™ — Conditional

may indicate that the governed value remains present only while:

a capability remains available; a contract remains active; a technology remains compatible; an infrastructure dependency remains available; a regulatory condition remains satisfied; a resource remains accessible; a particular operational configuration remains active.

The condition must remain attached to the state determination.

Indeterminate Value State

VSS must permit an indeterminate state where available information does not support a legitimate current-state determination.

This prevents governance systems from forcing false certainty.

Unknown ≠ Zero

and:

Indeterminate ≠ No Value

An inability to determine the current value state must not automatically convert into a zero-value determination.

State Determination Principle

A Value State Determination should identify:

Value Reference → Governance Context → State Reference Point → Applicable State Criteria → Available State Basis
→ Current State Determination → Conditions → Limitations → Uncertainty → Review Conditions

The determination must be sufficiently explicit to distinguish:

what state was determined

from:

why that determination was made.

State Evidence

VSS may use information produced elsewhere to support state determination.

Such information may include:

operational results; market information; technical condition; capability availability; utilization; performance; demand; contractual status; financial information; resource availability; technological compatibility; external valuations; governed recognition records; other relevant evidence.

VSS governs how that information supports a Value State Determination.

It does not take ownership of the external systems that generated the information.

Temporal State Principle

Value state is inherently temporal.

A value may be:

State A at T_1

and:

State B at T_2 .

The current state must therefore be distinguishable from:

previous state; projected state; target state; possible state; historical state.

This is especially important for AI and automated systems, which may otherwise confuse an old value record with the current value condition.

Current State $\neq$ Future State

VSS does not predict what value will become.

A state determination may identify transition readiness, but it does not establish the future state.

Therefore:

Transition Readiness $\neq$ Predicted Transition

and:

Predicted State $\neq$ Current State.

Prediction governance remains outside VSS.

Transition Readiness

VSS includes transition readiness because a current state may contain conditions indicating that state reassessment or downstream change governance is required.

Transition-readiness indicators may include:

threshold proximity; material dependency change; deterioration signal; capability activation; value recovery condition; market threshold; contractual trigger; technological transition; resource exhaustion; restoration condition; material uncertainty change.

Transition readiness does not itself establish a value change.

It establishes that the current state may no longer remain stable or sufficient as the sole representation of value.

State Review Trigger

A state review may be triggered when:

material new evidence appears; a value-change signal is detected; recognition conditions change; the value object changes materially; a dependency changes; a state condition fails; a defined threshold is crossed; the reference period expires; the governance context changes; uncertainty becomes material; an external event potentially affects value.

The trigger initiates review.

It does not predetermine the new state.

State Persistence

A value state remains the governed current state until:

a new state is legitimately determined; the existing determination expires; the state is suspended; the applicable governance context ceases; or another defined lifecycle condition invalidates its applicability.

This prevents uncontrolled state changes based merely on unverified signals.

State History

VSS requires historical states to remain distinguishable where lifecycle traceability is required.

A value lifecycle may therefore show:

State A — Active → State B — Constrained

→ State C — ZVA™ → State D — Restored Value Asset™

The state history provides a governed record of where value has been.

The mechanisms responsible for those movements remain governed through the relevant downstream standards.

Multi-Context State

The same underlying object may legitimately occupy different value states in different contexts.

For example:

Industrial Machine

may be:

ZVA™ within Production Line A

while remaining:

Value Asset™ within Spare-Part Recovery Context B.

Likewise, intellectual property may have:

high strategic value

and simultaneously:

zero current licensing value.

VSS therefore prohibits silent collapse of multiple value contexts into one universal state.

Aggregation Principle

Value states may be aggregated for portfolio, enterprise, infrastructure, governmental, or analytical purposes.

However:

State Aggregation $\neq$ State Homogenization

An enterprise containing:

high-value assets; conditional-value assets; zero-value assets; degraded-value assets; indeterminate-value objects

must not be represented as though every underlying value object occupies the same state merely because a portfolio-level metric exists.

Granular states should remain traceable where material.

State Transfer Principle

A value-state record may move between systems.

For example:

Operational System $\rightarrow$ Enterprise System

$\rightarrow$ Banking Analysis $\rightarrow$ Investment Analysis $\rightarrow$ Government Analysis

The technical transfer of a state record does not force the receiving institution to adopt the same value-state determination.

Therefore:

State Record Transfer $\neq$ Institutional State Adoption

The receiving system may apply its own governance context and criteria.

Boundary with Value Recognition Standard

VRS establishes whether existing value may be recognized within the defined context.

VSS establishes its current governed state.

Therefore:

Recognition $\rightarrow$ State

but:

Recognition $\neq$ State.

A recognition record may serve as an input to state governance without dictating every future state determination.

Boundary with Value Change Standard

VSS establishes the current value state.

VCS governs whether existing value has materially changed and what change occurred.

The boundary is:

VSS: What is the current governed state?

VCS: Has that value materially changed, and what changed?

Therefore:

State $\neq$ Change.

Boundary with Value Development and Value

Degradation

VSS may identify that value currently occupies a developed, constrained, degraded, zero, or other defined state where the applicable state taxonomy supports such classifications.

It does not govern the mechanism or lifecycle pathway of development or degradation.

Those processes belong to their respective downstream governed spaces.

Boundary with Value Nullification

A ZVA™ determination identifies a governed zero-value state.

It does not automatically determine that a formal Value Nullification event or process has occurred.

This distinction is essential:

Zero-Value State $\neq$ Nullification Mechanism

VSS answers:

What is the value state now?

Value Nullification governance answers:

Through what governed lifecycle condition did value become nullified?

Boundary with Value Restoration

A ZVA™ may later regain value.

VSS may record the resulting new state once legitimately determined.

The restoration mechanism itself belongs to Value Restoration Governance.

Therefore:

Restored State $\neq$ Restoration Process.

Boundary with External Valuation Systems

VSS does not determine:

market price; fair value; accounting value; tax value; collateral value; insurance value; legal ownership; regulatory classification.

Those systems may provide inputs into a Value State Determination where appropriate.

VFM® preserves the methodological distinction between:

governed value state

and:

external institutional valuation or classification.

Machine-Readable Value State

A machine-readable VSS implementation may represent:

Value ID → Context ID → Value Object Reference → Recognition Record Reference → State Taxonomy ID → Current State → State Reference Point → State Conditions → State Limitations

→ State Uncertainty → Transition Readiness → Review Triggers → State Version → Previous State Reference → Current State Record Status

This enables AI and digital systems to distinguish between:

what value exists

and:

what state that value currently occupies.

Governance Outputs

Implementation of VSS may produce:

Value State Identification Record Value State Classification Value State Determination Value State Basis Record Value State Condition Record Value State Limitation Record Value State Uncertainty Record Value State Reference Point Value State Transition Readiness Record Value State Review Trigger Value State History ZVA™ State Record Value Asset™ State Record Governed Current Value State Machine-Readable Value State Record

These outputs create the baseline required for downstream Value Change Governance.

Enterprise Application

VSS enables organizations to maintain an explicit map of what state their governed value currently occupies rather than relying only upon static asset lists, accounting classifications, market valuations, or isolated management judgments.

The Standard can be applied to:

enterprises; banking; investment; public finance; industrial assets; technology portfolios; intellectual property; infrastructure; energy systems; supply chains; digital assets; AI capabilities; organizational capabilities; scientific programs; space missions; resource systems; public-sector assets.

This makes it possible to identify value that conventional systems may fail to represent clearly.

An organization may discover, for example, that an object still exists on its asset register while occupying a ZVA™ state operationally, or that a capability not recognized as a conventional accounting asset nevertheless constitutes a material Value Asset™ within the organization's operational context.

VSS therefore creates a structured bridge between value existence and dynamic value lifecycle governance.

Foundational Principles

Value is not the same thing as its current state.

Value recognition is not value state.

Value state is reference-bound and context-bound.

Current state is not historical state.

Current state is not predicted state.

Value State $\neq$ Value Change.

Value State $\neq$ Value Transition.

Transition readiness does not establish that transition occurred.

Unknown value state is not zero value.

Zero value is not non-existence.

Zero value is not automatically extinction.

Zero value is not automatically negative value.

ZVA™ — Zero Value Asset™ may remain capable of future restoration.

Value Asset™ does not automatically mean accounting, legal, taxable, collateral, or market-recognized asset.

The same object may legitimately occupy different value states under different value contexts.

A governed value lifecycle requires an explicit current state before material change can be meaningfully determined.

Canonical Closing Statement

Value State Standard establishes the current-condition governance layer of VFM® — Value Flow Mechanisms Architecture by providing a structured method for identifying, classifying, determining, recording, reviewing, and representing the current governed state of value. Through explicit separation of value identity, recognition, state, change, transition, nullification, restoration, external valuation, and institutional classification, VSS enables value to remain governable as its condition evolves across time and context. By introducing persistent state representation, contextual and temporal reference points, state conditions, uncertainty, transition readiness, historical traceability, multi-context state governance, machine-readable state records, and canonical concepts including Value Asset™ and ZVA™ — Zero Value Asset™, the Standard establishes the baseline from which subsequent changes in value can be detected and governed without confusing the state of value with the mechanisms that produced it. A governed value lifecycle can determine what changed only when it can first determine what state the value was in.

Nahlad

Value State Standard (VSS)

Architecture: VFM® — Value Flow Mechanisms Architecture

Category: Governance & Enforcement

Subcategory: Value Lifecycle Governance

Canonical Definition: Value State Standard governs the identification, classification, determination, transition readiness, and persistent representation of the current governed state of value, establishing an explicit baseline from which subsequent value change can be detected and governed.

Governed Space:

Value State

Governance Flow: Value Context → Value Origin → Value Emergence → Value Recognition → Value State → Value Change

Value must have an explicitly governed current state before a subsequent material change in that value can be meaningfully identified and governed.

→ [View Standard](#)

[About standard](#)

Module Architecture

→ [Value State Identification Module \(VSIM\)](#)

→ [Value State Classification Module \(VSCM\)](#)

→ [Value State Determination Module \(VSDM\)](#)

→ [Value State Transition Readiness Module \(VSTM\)](#)

→ [Value State Record Module \(VSRM\)](#)

Related Documents

→ [About Value State Standard \(VSS\)](#)

→ [VFM® — Value Flow Mechanisms Architecture](#)

OOF® MIP® Protection Notice

OOF® · Protected under MIP® — Methodological Intellectual Property

Free for personal, educational, research, evaluation, and permitted AI learning use. Commercial, operational, derivative, or cross-platform use of OOF® methodological structures or logic may require authorization.

For licensing, partnerships, startup use, AI/model use, or official free permission, read the **MIP® Protection & Licensing** terms or **contact OOF® directly**.

Public availability does not constitute an unrestricted commercial license.

Active Protection & Compatibility Detection applies.

Canonical Source

<https://originopenfoundation.org/>